

6 COMPONENTS

# statement

Statement — one declarative claim per slide.

NET NEW ARR . FY26 THROUGH Q3

**\$48M**

booked against a \$42M full-year plan,  
with the enterprise segment driving  
two-thirds of the gain and one quarter  
still to close.

## **The window for differentiation is narrowing.**

Three converging forces — commoditized infrastructure, compressed release cycles, and rising switching costs — have cut the average durable-advantage window from 36 months to under 14. The teams that win the next two years are the ones that can tell signal from noise before the window closes.

“

*The signal was always there. We just didn't have a system that forced us to look at it before we'd already decided.*

”

— Head of Product, Pilot Team 3

Q2 PERFORMANCE REVIEW

# Enterprise revenue stalled in Q2.

Three structural factors explain 90% of the shortfall — all addressable before Q4 close.

## **Renewal pricing complexity is driving churn at the segment ceiling.**

Four accounts totaling \$2.1M ARR declined renewal. Win/loss interviews point to a quote-to-contract gap, not value perception.

## **Pipeline conversion dropped 11 pp below Q1 — legal review is the chokepoint.**

Contract length increased 18 days on average. Root cause is a security addendum introduced in March.

## **Competitive displacement accelerated in the \$80-200K ACV tier.**

Seven losses to a single competitor. Time-to-value gap is the exposure.



The best product does  
not win. The most  
understood one does.

## Why understanding wins

### **Clarity is a product decision**

If a prospect can't state our value in a sentence, that's an architecture problem, not a messaging one.

### **Onboarding is the first argument**

The moment a user first succeeds sets the frame for everything that follows.

### **Comprehension drives retention**

Users who understand the system's logic stay through friction; users who don't churn at the first one.



*The best product does not win.  
The most understood product  
does.*

Morgan Chase · Head of Product, Vercel,  
2024

**Clarity is a product decision, not a marketing one.**

If a prospect cannot articulate our value in one sentence, the product has a communication architecture problem.

**Onboarding is the product's first argument for itself.**

The moment a user first succeeds defines their frame for everything that follows.

**Understanding, not delight, is the retention driver at scale.**

Users who understand the system's logic stay through friction. Build for comprehension.